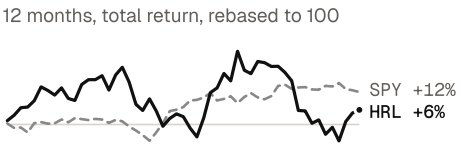
Hormel Foods HRL

NYSE · Consumer Defensive · Packaged Foods · USD · Price date 30.10.26

LONG CANDIDATE | VALUE-TRAP CHECK: WATCH | DDM AND COMPS: MIXED



PRICE	FAIR VALUE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
21.28	22.82	+7.2%	+7.7%	11.7bn	5.5%
USD, close 30.10.26	50% DDM, 50% comps	$V_0 / P_0 - 1$	IR 0.33	USD	DO USD 1.17

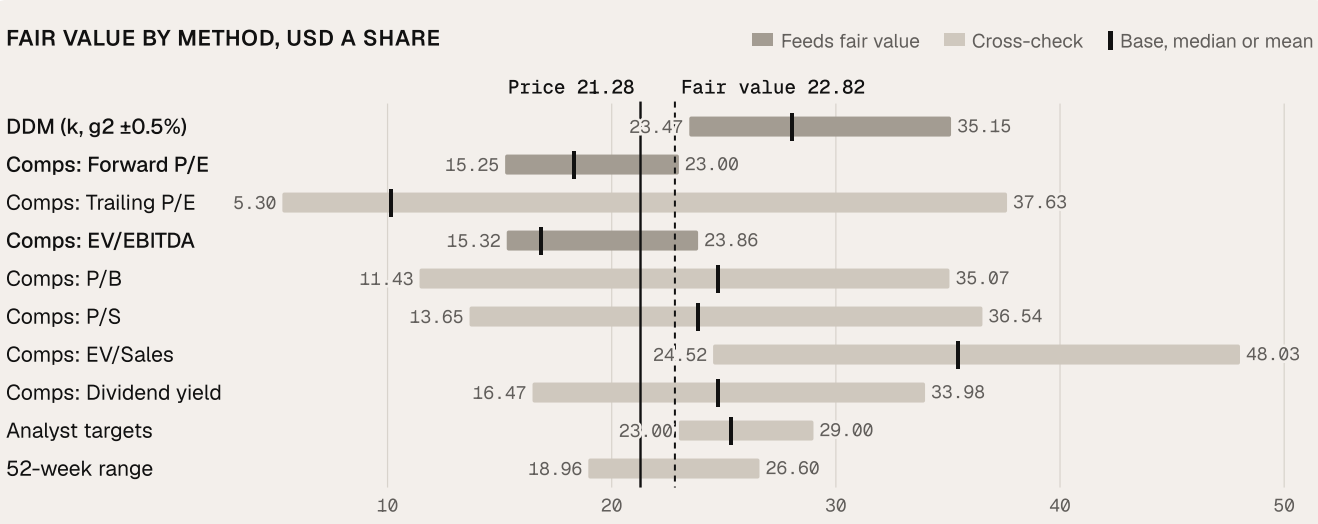
ENTERPRISE VALUE	FORWARD P/E	EV/EBITDA	52-WEEK RANGE	ANALYST TARGET (N=8)	NEXT EARNINGS
13.7bn	13.6x	10.8x	18.96-26.60	25.31 (+19%)	03.12.26

1 · INVESTMENT THESIS

At USD 21.28, with a cost of equity of 6.66%, Hormel is priced for only 1.1% dividend growth forever. Yet consensus has adjusted EPS rising from 1.37 to 1.57 by next fiscal year, and the company targets 5–7% operating profit growth [3]. GAAP numbers hide this: trailing EPS of 0.62 carries charges such as a USD 56m loss on the Brazil sale [1], so the stock screens at 34.3x trailing earnings. **This is a modest mispricing, not a deep one.** Peers trade below Hormel on forward earnings (11.7x against 13.6x), so we value it halfway between the DDM and the comps, for a margin of safety of +7%. The case is a low-beta, conservatively financed company yielding 5.5%, with dated news inside the challenge.

2 · CATALYSTS

EVENT	DATE	WHY BEFORE THE END OF DECEMBER	EXPECTED EFFECT ON THE PRICE
61st annual dividend increase	Late Nov (expected)	Last year's came on 24 Nov 2025 [2]. Not yet announced for 2026.	A raise above last year's 1% would signal that the new CEO expects cash flow to recover.
Q4 results, FY26 accounts and FY27 guidance, the first from the new CEO	About 3 Dec (Yahoo)	Reported on 4 Dec in 2024 and 2025 [4]; this year's date is not yet confirmed.	The main event: guidance on algorithm supports EPS of 1.57, and FY26 cash flow could clear the FCF red flags.
Peers report: Smucker, Campbell's, Conagra, General Mills	24 Nov–23 Dec (Yahoo)	Set by their calendars, all inside the window.	These set the sector multiple. They can move either way: a risk as much as a catalyst.



3 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

Hormel has paid a dividend every quarter since 1928 and raised it 60 years running [2], with no buybacks in FY24–FY25, so dividends are the cash owners receive. We use two stages because earnings are below normal: higher growth while margins recover, then a low terminal rate.

METHODS THAT DO NOT FIT

Gordon alone would ignore the recovery or extend it forever. Trailing P/E is distorted by one-off charges. P/B says little after write-downs across the sector. A cash-flow DCF would start from FY25 FCF, the lowest in four years (USD 534m).

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 21.28	Close 30.10.26, not adjusted
D_0, dividend	USD 1.17	Dividends paid, last 12 months
β on SPY	0.27	Slope on SPY, 60 months
r_f, 10-year yield	4.98%	FRED DGS10, 29.10.26
ERP	6.11%	Bloomberg CRP, Class 5: refresh
$k = r_f + \beta$ ERP	6.66%	CAPM
g_1, first stage	4.0%	Below consensus EPS growth of 5.6%
T, years	5	Years to rebuild margins; ours
g_2, terminal	2.0%	Below the 2–3% sales algorithm [3]; ours
Gordon value	USD 25.66	+21% vs price
Two-stage value	**USD 28.06**	**+32% vs price; 81% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	1.0%	1.5%	2.0%	2.5%	3.0%
5.66%	29.07	32.02	35.78	40.74	47.55
6.16%	26.22	28.56	31.46	35.15	40.01
6.66%	23.88	25.76	**28.06**	30.90	34.52
7.16%	21.91	23.47	25.32	27.57	30.36
7.66%	20.25	21.54	23.06	24.88	27.09
Upside	+12%	+21%	+32%	+45%	+62%

Two-stage DDM value, USD. Shaded: at or above the price of 21.28. Dark: base case. Upside at the base k.

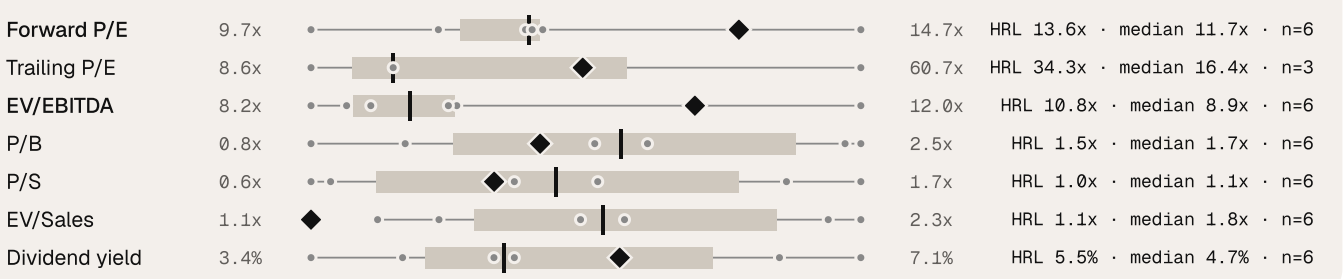
Growth the price implies (reverse Gordon)	1.09%
Sustainable growth, forward ROE × retention	2.77%
Justified P/B vs actual	1.77x vs 1.49x
DDM value at β = 1	USD 14.28

4 · COMPARABLE COMPANIES

COMPANY	CAP, BN	FWD P/E	TRAIL. P/E	EV/EBITDA	P/B	P/S	EV/SALES	DIV. YIELD
GIS General Mills	18.3	10.9x	n/m	9.2x	2.46x	1.00x	1.72x	7.1%
CPB Campbell's	6.4	11.7x	16.4x	8.5x	1.66x	0.66x	1.41x	4.7%
SJM J. M. Smucker	13.9	11.8x	60.7x	9.2x	2.41x	1.52x	2.27x	3.4%
KHC Kraft Heinz	28.9	11.7x	n/m	8.2x	0.80x	1.16x	1.82x	6.6%
CAG Conagra Brands	7.0	9.7x	n/m	8.7x	1.09x	0.62x	1.28x	4.8%
MKC McCormick	12.7	14.7x	8.6x	12.0x	1.82x	1.66x	2.34x	4.1%
Peer mean		11.7x	28.5x	9.3x	1.71x	1.10x	1.81x	5.1%
Peer median		11.7x	16.4x	8.9x	1.74x	1.08x	1.77x	4.7%
HRL Hormel Foods	**11.7**	**13.6x**	**34.3x**	**10.8x**	**1.49x**	**0.96x**	**1.13x**	**5.5%**
Implied price at peer mean		18.41	17.69	17.72	24.32	24.30	36.24	22.93
Implied price at peer median		18.32	10.14	16.85	24.76	23.85	35.46	24.74

Comps value USD 17.58 (–17%): average of the median implied prices on Forward P/E and EV/EBITDA (shaded). n/m: negative or above 100x, excluded.

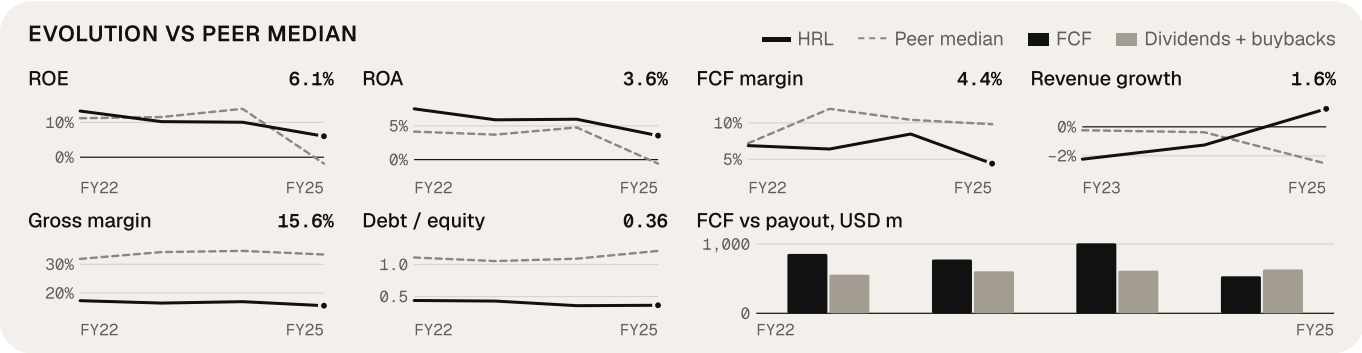
PEER MULTIPLES: BOX PLOTS, EACH ON ITS OWN SCALE



5 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY25	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND	
Profitability	ROE	6.1%	−1.8%	11.2%	better	worsening	
Profitability	ROA	3.6%	−0.6%	6.5%	better	worsening	
Profitability	FCF margin	4.4%	9.8%	7.3%	worse	worsening	**Red flag**
Growth	Revenue growth	1.6%	−3.2%	−2.2%	better	improving	
Growth	Gross margin	15.6%	33.4%	17.0%	worse	worsening	**Red flag**
Safety	Debt / equity	0.36	1.21	0.41	better	improving	
Payout	Payout / FCF	1.18	0.70	0.68	worse	worsening	**Red flag**

Earnings test: adjusted EPS 1.37 (FY25) → 1.48 → 1.57 (forward): rising. Trailing GAAP EPS of 0.62 is not comparable: it includes one-off items.



WATCH **Red flags or falling earnings, not both: watch, not a trap.** Margins and cash flow weakened in FY25 and sales guidance was cut in August [1], but earnings are expected to grow and debt is low. The FY26 accounts, due with Q4 results, are the real test.

6 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+7.7%	0.33
Gap closes in 2 years	$(1 + k)[(V_0/P_0)^{(1/2)} - 1]$	+3.8%	0.16
Gap closes in 3 years	$(1 + k)[(V_0/P_0)^{(1/3)} - 1]$	+2.5%	0.11
Gap never closes	α never = $D_1 / P_0 + g - k$	+1.0%	0.04
Used: 1 year, p = 100%	**Goes into Treynor-Black**	**+7.7%**	**0.33**

β on our SAA, Nov 21–Oct 26	0.39
$\sigma(\varepsilon) \cdot \sigma^2(\varepsilon)$, annual	23.1% · 0.0533
$\alpha / \sigma^2(\varepsilon)$, weight score	1.45
Pro rata over the 51 days to 27 Dec	+1.1%
Position	set by Treynor-Black

Two dated events fall in the window, so we assume the gap closes within 1 year (Class 5), on the blended fair value. On the DDM alone alpha would be 34% and IR 1.5: too good to be credible. IR 0.33 is below the benchmarks of 0.50 for four good bets and 0.64 for Buffett.

7 · SPECIFIC ISSUES

VALUE TRAP

FY25 FCF did not cover the dividend (payout/FCF 1.18), the main trap risk. Nine-month FY26 operating cash flow: USD 769m [1].

SUSTAINABLE GROWTH

Forward ROE 11.0% × 25% retained = 2.8%, above g2 of 2.0%. First-stage 4.0% needs a lower payout (now 75%).

MANAGEMENT QUALITY

CEO John Ghingo, since 26 Oct 2026 [5], is unproven. Discipline so far: debt/equity 0.36, no buybacks, Brazil and whole-bird turkey sold [1].

ACTIVIST INVESTMENT

No route here: the Hormel Foundation holds 46.8% of the shares [6], so outsiders cannot force change.

UPSIDE POTENTIAL

If FY27 guidance meets the algorithm and the market pays the DDM value: USD 28.06 (+32%). Analyst mean target: USD 25.31 (+19%).

RISKS: WHAT WOULD PROVE US WRONG

Q3 volume fell 7.4% [1]; at beta 1 the DDM is USD 14.28. Wrong if FY27 EPS guidance is below FY26 or FCF again misses the dividend.

Model flags: *DDM and comparables disagree (the TA's "mixed: check").*

[1] Hormel Foods, Q3 FY2026 results, 27 Aug 2026. [2] Hormel Foods, 60th dividend increase, 24 Nov 2025. [3] Hormel Foods, preliminary Q1 FY2026, 17 Feb 2026. [4] Hormel Foods, Q4 call notices, 2024–25. [5] Twin Cities Business, CEO succession, 2026. [6] Hormel Foods, Who owns Hormel Foods? Market data: Yahoo Finance and FRED, downloaded 01.11.26.